



August 20, 2021

Dear Investor:

As the worldwide COVID-19 pandemic continues to affect global economic activity across all industries, we wish to express our continued appreciation for your investment in Beach Orangethorpe Hotel III, LLC ("*BOH 3*"), which was formed to help fund the development of the Buena Park hotel project (the "*Hotel*"). We are writing to update you on The Source Hotel, LLC, the developer and ground lessee (the "*Developer*") of the Hotel.

Current Situation with the Chapter 11 Bankruptcy

As addressed in our last letter dated May 2021, the Hotel's senior construction lender, Evertrust Bank, sold its note to a new lender, Shady Bird Lending, LLC ("*Shady Bird*"). After acquiring the rights to the construction loan, Shady Bird Lending, LLC recorded a notice of trustee's sale to foreclose on its leasehold rights, scheduled for March 1, 2021. They also obtained a temporary order appointing a receiver, with a hearing on the application originally scheduled for March 18, 2021.

To prevent the foreclosure sale and the receivership, the Developer filed a voluntary petition under chapter 11 of the United States Bankruptcy Code in the United States (the "*Bankruptcy Code*") in the Bankruptcy Court for the Central District of California, Santa Ana Division, thereby commencing a chapter 11 bankruptcy case bearing the case number 8:21-bk-10525-ES, on February 26, 2021. As a result, all proceedings against the Developer, including the foreclosure sale and receivership proceedings mentioned above, were automatically stayed (suspended) under the provisions of the Bankruptcy Code. The Developer is being represented in the bankruptcy case by the preeminent law firm of Levene, Neale, Bender, Yoo & Brill L.L.P.

The attempted foreclosure that had been scheduled for March 1, 2021 of the Hotel would have likely hindered the immigration process and yielded a fraction of the value. Due to the Hotel's incomplete state in the midst of a pandemic-influenced economy, the value would have been much lower than what could be obtained in an orderly, normal sale after the hotel is completed and launched. Not to mention, a foreclosure sale could have destroyed both the investment value and immigration prospects of investors.

The Chapter 11 bankruptcy process gives the Developer a limited time to arrange a plan that will make the Hotel project viable and pay off the senior note to Shady Bird. Based on Shady

Bird's actions thus far, we believe that working with the Developer to secure the funds necessary to keep control of and complete the Hotel is in the interest of the investors.

Current Status of Hotel Development

As of the date of this letter, approximately \$65 million has already been spent on the construction of the Hotel, which is now approximately 85% complete. Outstanding construction work consists mostly of finish work such as the installation of flooring and carpeting, lighting, appliances, trade fixtures, furniture, furnishings and equipment, which have already been purchased by the Developer.

The Developer anticipates that it will be able to complete the construction of the Hotel within 6-12 months after construction resumes, with additional funding of approximately \$12 million.

The Developer will require at least \$33 million to replace Shady Bird, the existing senior lender, with an additional \$10-12 million needed to pay off outstanding debt owed to subcontractors and fully complete the Hotel. In total, approximately \$45 million is required for the Developer to remain in control of the Hotel, preserve the financial position and assets of the new commercial enterprise BOH 3, successfully complete construction, and commence operation of the Hotel. This objective is not shared by parties opposing reorganization efforts.

Most recently, a court auction sale date has been set for September 30, 2021 at which time the Hotel will be sold to the highest bidder. It is the Developer's priority to find either financing or a partner to be able to take the Hotel to completion before this date rather than selling the Hotel at the auction. However, due to the impending deadline, the Developer is also simultaneously seeking friendly buyers who would be able to take the Hotel to completion for the benefit of the investors. The Bankruptcy Court has given the Developer approval to engage NAI Capital, a well-known broker in the California real estate circle, in this process.

Financial Impact to EB-5 Investors

Should the Hotel fall under Shady Bird's control, it is not guaranteed that Shady Bird will work to the benefit of the investors. There is a high possibility that investors will not have a chance of recovering their investment and be wiped out completely, because the investors' rights are subordinated to Shady Bird, who currently holds the first deed of trust.

Due to the current status of the Hotel, the Developer believes that the best way to return all investments to investors is to complete the Hotel. Accordingly, the Developer is undertaking all efforts to take the Hotel to completion, including refinancing or partnering.

Immigration Impact to EB-5 Investors

The best prospect to create the number of jobs originally forecast is for the Developer (or a Developer-friendly entity that purchases the Hotel) to complete construction of the Hotel and launch operations. Jobs created to date are not sufficient for all investors to successfully complete the EB-5 immigration process, including removal of conditions from lawful permanent residence. But if adequate financing is secured to complete construction of and operate the Hotel, there should be sufficient job creation for all of the EB-5 investors involved with the development of the Hotel. As a result, the Developer is focusing its efforts to make sure the requisite number of jobs are created, whether it be through the Developer itself after financing or partnering, or through a friendly Buyer.

If you have obtained conditional lawful permanent residency (“CLPR”) status but have not yet filed your I-829 petition, this may mean that sufficient jobs were not created during your CLPR period because Hotel construction was substantially halted in late 2019. A successful I-829 petition will depend – in part – on demonstrating that you have satisfied the EB-5 job creation requirement. To accomplish this, the Developer must complete construction of the Hotel and commence Hotel operations.

It is important to note that the U.S. Congress failed to renew the EB-5 Regional Center Program prior to its expiration on June 30, 2021. However, because you obtained CLPR status prior to the Program’s expiration date, USCIS has indicated you should remain eligible to complete the EB-5 immigration process, including removing the conditions from your CLPR status through the filing of the I-829 petition.¹

To help ensure that you will be able to successfully remove the conditions from your CLPR status, it is vital that the development of the Hotel continue in the hands of a party willing to engage in efforts that will result in sufficient EB-5 job creation. If there is insufficient job creation, USCIS may deny your I-829 petition. Again, the Developer’s focus is to either take the Hotel to completion or have a friendly Buyer take over the Hotel development with the intent to create the necessary jobs for all EB-5 investors.

Conclusion

The Developer is committed to completing the Hotel, to ensure that EB-5 investors’ investment capital is deployed properly to maintain the investors’ eligibility for permanent residency status, and to protect their investment. That objective is not shared by parties opposing reorganization efforts.

¹ Based on information provided by the USCIS website

(<https://www.uscis.gov/working-in-the-united-states/permanent-workers/employment-based-immigration-fifth-preference-eb-5/eb-5-immigrant-investor-regional-centers/approved-eb-5-immigrant-investor-regional-centers>).

The Source Hotel, LLC and its affiliates possess the necessary experience, historical knowledge, and resources to best complete the Hotel and are in the best position to protect both your immigration and financial interests in the Hotel. Therefore, it is vital that the Developer be given the opportunity to secure funds, complete construction, and commence operation of the Hotel.

We request your proactive participation in this effort by considering increasing your capital investment, or to invite other investors to contribute to the development of the Hotel. Investing in the Hotel and reviving it is the best option to preserve your current eligibility for permanent resident status and protect your financial investment.

Despite the challenges of the COVID-19 pandemic, the United States is leading the global economic recovery and due to the economic stimulus payments issued to its citizens, inflation and increase in value in real property is projected. In addition, the U.S. hospitality business is expected to recover and thrive in 2022, so The Source Hotel is poised to be in a position to benefit from that recovery. The success of the Hotel will achieve the twin objectives of preserving the eligibility of the permanent residency of our investors, as well as providing them with a healthy return on their investment.

We understand that you may have questions or wish to have further discussions about these matters. We welcome the opportunity to speak with you. In addition, you may also consult with an independent financial advisor or counsel. Please direct your communications to operations@mdregionalcenter.com.